



京都大学
KYOTO UNIVERSITY

Kyoto University Competition Law Seminar

Duplicate Powers in the Criminal Referral Process and the Overlapping Enforcement of the Competition and Criminal Authorities in Korea: An Analysis Through the Lens of the Redundancy Theory

冗長性の視点から見た公正取引法の執行における行政機関間の権限の重複

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This presentation is based on the presenter's recent paper, with the same title, published in Human Rights and Justice, Volume 519. The published paper, written in Korean, is available at <https://ssrn.com/abstract=4714396> or <https://shorturl.at/doMV6>.

Background: Criminal Penalties in the MRFTA

* For the corporate criminal liability, see Art. 128 (Joint Penalty Provisions)

Chp. 5 Collusion

- Art. 40 Prohibition of unjust collusion •
- Art. 41 Bid rigging in public procurement
- Art. 42 Remedial measures
- Art. 43 Fines
- Art. 44 Leniency

Chp. 7 Associations

- Art. 51 Prohibition of associations' acts
 - (1) 1. Unjust collusion •
 - 2. Membership restriction
 - 3. Business activity restrictions
 - 4. Incitement to UTPs/RPM
- Art. 52 Remedial measures
- Art. 53 Fines

Chp. 2 Abuse of Dominance

- Art. 5 Prohibition of abuse of dominance
- Art. 6 Presumption of dominance
- Art. 7 Remedial measures
- Art. 8 Fines

Chp. 3 Merger Control

- Art. 9 Prohibition of anticompetitive M&As
- Art. 11 Notification of M&As
- Art. 13 Prohibition of circumventions
- Art. 14 Remedial measures
- Art. 15 Voting ban upon divestiture order
- Art. 16 Periodic penalty

Chp. 6 ... RPM ...

- Art. 46 Prohibition of RPM
- Art. 48 Prohibition of retaliation •

Chp. 7 Associations

- Art. 51 Prohibition of associations' acts
 - (1) 4. Incitement to UTPs/RPM

Chp. 6 UTPs...

- Art. 45 Prohibition of UTPs
 - 1. Refusal to deal
 - 2. Discrimination
 - 3. Exclusion of competitor
 - 4. Inducement
 - 5. Coercion to deal
 - 6. ASBP
 - 7. Restrictive dealing
 - 8. Business Interference
 - 10. etc.
- Art. 48 Prohibition of retaliation •
- Art. 49 Remedial measures
- Art. 50 Fines

Chp. 7 Associations

- Art. 51 Prohibition of associations' acts
 - (1) 4. Incitement to UTPs/RPM

Chp. 12 Injunction ...

- Art. 108 Injunction

- Art. 124 ≤ 3 years in prison, ≤ 200 m won in criminal fines
- Art. 125 ≤ 2 years in prison, ≤ 150 m won in criminal fines
- Art. 129 ≤ x3 punitive damages

Chp 6. UTPs ... Undue benefits to designated parties (Tunneling)

- Art. 45 Prohibition of UTPs
 - 9. Unfair support
- Art. 47 Prohibition of provision of undue benefits to designated parties

Chp 4. Aggregate Concentration Control

- ...
- Art. 18 "Restrictions on Acts by Holding Companies"
- Art. 19 "Restrictions on Establishment of Holding Companies by Business Groups Subject to Limitations on Cross Shareholding"
- Art. 20 "Special Cases concerning Restrictions on Owning Shares of Financial Companies by General Holding Companies"
- Art. 21 "Prohibition of Cross Shareholding"
- Art. 22 "Prohibition of Circular Shareholding"
- Art. 23 "Restrictions on Voting Rights for Circular Shareholding"
- Art. 24 "Prohibition of Debt Guarantees for Affiliates"
- Art. 25 "Restrictions on Voting Rights Held by Financial Companies, Insurance Companies, and Public Interest Corporations"
- ...
- Art. 31 "Designation of Business Groups Subject to Limitations on Cross Shareholding"
- ...
- Art. 36 Prohibition of circumventions
- Art. 37 Remedial measures
- Art. 38 Fines
- Art. 39 Voting ban in violation of Art. 21 or 22, and upon disposal order under Art. 37(1)

Background: Criminal Enforcement System (1)

- The KFTC's exclusive authority to make a criminal referral
 - Only the KFTC's referral enables prosecutors to charge (legal/natural) persons, thereby initiating formal criminal proceedings (**Art. 129(1)**).
- The KFTC's authority under restrictions
 - In principle, the KFTC, **at its discretion**, decides that criminal penalties are necessary or appropriate, it can initiate the referral process.
 - However, when a violation “substantially hinders competition as the gravity of such violation is objectively obvious and serious”, the KFTC **is obligated** to make the criminal referral (**Art. 129(2)**)



- Collusion
- Abuse of dominance
- Unfair-UTPs (incl. unfair tie-ins) (excl. lessening-competition UTPs)
- Unfair support & Provision of undue benefits (tunneling)
- ...



Background: Criminal Enforcement System (2)

- Other Agencies' Request for Criminal Referral
 - The Prosecutor General and other relevant ministers* can **request** the KFTC to make a referral. In response, the KFTC is **obliged** to make the referral without any discretion to reject the requests (**Art. 129(5)**).
 - Relevant ministers include: the Chairperson of the Board of Audit and Inspection;
the Minister of SMEs and Startups; and
the Administrator of the Public Procurement Service
 - The Prosecutor General can make the request irrespective of the KFTC's decision
 - when it finds that there's an "**obvious and serious**" violation of rules in terms of market competition (**Art. 129(2) – (3)**).
 - Meanwhile, the ministers request only in response to the KFTC's decision
 - when they find that there are "**other reasons**," such as societal impacts, impacts on national finance, and damages to SMEs (**Art. 129(4)**)

Background: Criminal Enforcement System (3)



Criminal referral (Art. 129(1)-(2))
- at its discretion or
- by obligation, if harm is substantial

Mandatory referral (Art. 129(5))

In cases of, for example,

- Collusion
- Abuse of dominance
- Unfair-UTPs (incl. unfair tie-ins) (excl. lessening-competition UTPs)
- Unfair support & Provision of undue benefits (tunneling)
- ...

Request for criminal referral
- when it finds the “substantial” case (Art. 129(2)-(3))



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- for “other reasons” such as societal impacts, impacts on national finance, and damages to SMEs (Art. 129(4))



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Ministry of SMEs and Startups



Public Procurement Service

Background: Expansion of the Right to Request Criminal Referral

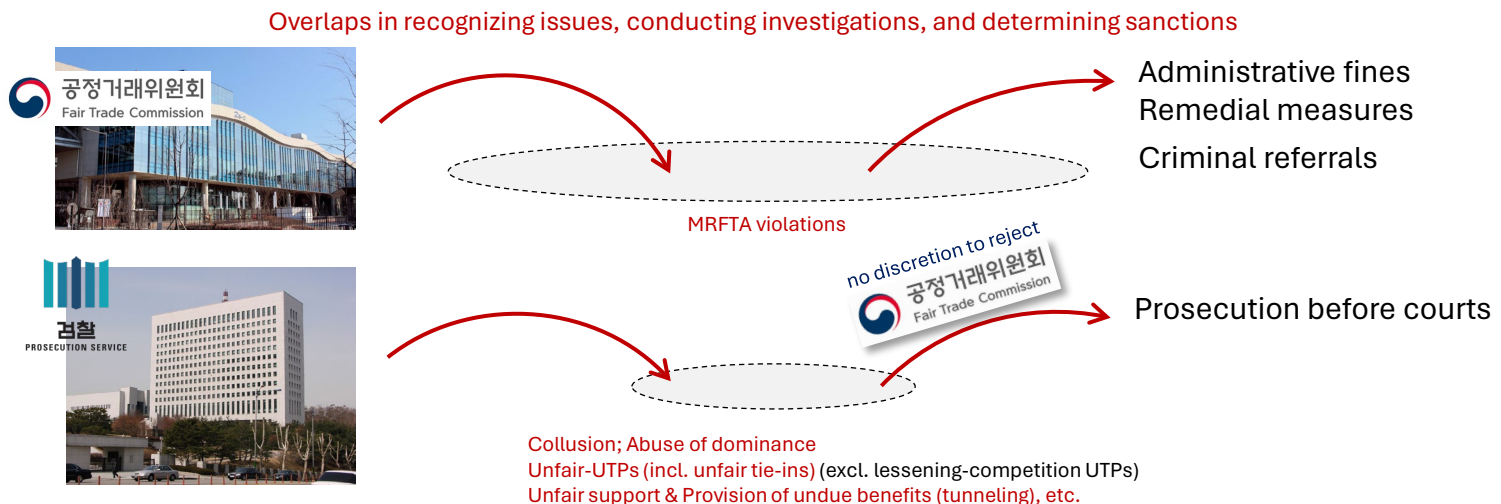
- **Article 129 (Criminal Charges)** (formerly, Art. 71)

- 1) Prosecution for a violation specified in Article 124 or 125 may be initiated only if the Fair Trade Commission files a criminal charge.
- 2) Where it is deemed that a violation specified in Article 124 or 125 substantially hinders competition as the gravity of such violation is objectively obvious and serious, the Fair Trade Commission shall file a criminal charge with the Prosecutor General. inserted in 1996
- 3) The Prosecutor General may notify the Fair Trade Commission of the existence of facts satisfying the requirements for filing criminal charges under paragraph (2) and may request the Fair Trade Commission to file a criminal charge. inserted in 1996
- 4) Even if the Fair Trade Commission concludes that a case does not satisfy the requirements for filing criminal charges under paragraph (2), the Chairperson of the Board of Audit and Inspection of Korea, the Minister of SMEs and Startups, and the Administrator of the Public Procurement Service may request the Fair Trade Commission to file a criminal charge for other reasons, such as far-reaching social effects, influence on the national finance, and the extent of the damage to small and medium enterprises. inserted in 2013
- 5) Upon receipt of a request for filing a criminal charge under paragraph (3) or (4), the Fair Trade Commission shall file a criminal charge with the Prosecutor General. inserted in 2013
- 6) The Fair Trade Commission may not withdraw a criminal charge after a prosecution has been initiated. inserted in 1996

Background: Criminal Enforcement System (4)

- Concurrent Enforcement Powers of the Competition & Criminal Authorities
 - In principle, the KFTC has exclusive authority to make a criminal referral.
 - Only this referral enables prosecutors to charge legal or natural persons, thereby initiating formal criminal proceedings.
 - In practice, however, prosecutors can initiate investigations independently of the referral* and may bring criminal charges based on their own judgment
 - through the criminal referral request system, under which the KFTC is mandated to make the referral following the criminal authority's request to file a criminal charge.

* '... filing a complaint or accusation merely constitutes a condition for prosecution and does not constitute a requirement for the establishment of the crime or a condition for investigation ...'
- Supreme Court Decision 94Do252 Decided Feb 24, 1995 (a tax evasion case)



Background: Summary

- Korean MRFTA's Public Enforcement System
 - Basically, it is designed for **efficiency**, centralizing the enforcement power within the KFTC, an administrative body
 - However, it also permits **overlaps and duplications** by:
 1. Granting the **right to request a mandatory complaint** (criminal referral) to the Prosecutor General, and the Chairperson of the Board of Audit and Inspection, the Minister of SMEs and Startups, the Administrator of the Public Procurement Service;
 2. Allowing **concurrent enforcement** by the criminal authority based on criminal penalty provisions.

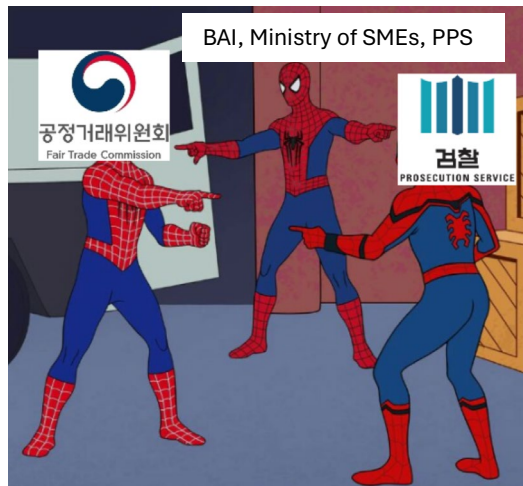
Definitions: “overlap” and “duplication”*

- **Overlaps:** when multiple agencies or programs have similar goals, engage in similar activities or strategies to achieve them, or target similar beneficiaries.”
- **Duplication:** “when two or more agencies or programs are engaged in the same activities or provide the same services to the same beneficiaries.”

* U.S. Government Accountability Office, *2023 Annual Report: Additional Opportunities to Reduce Fragmentation, Overlap, and Duplication and Achieve Billions of Dollars in Financial Benefits* (Jun 2023), p.24.

Question (1)

- Status Quo: Inefficiencies in the MRFTA public enforcement system
 - Overlapping enforcement actions and duplications in the authority to determine the need for criminal punishment within a single government organization.
- Question: Are such inefficient institutional arrangements desirable?
 - Existing studies, mainly conducted by lawyers or economists, on the issue of criminal enforcement of the MRFTA have largely focused on the legitimacy of criminal sanctions over competition violations.
 - There is a lack of studies on the overlaps and duplications of power from the perspective of government organization or system design.



Question (2)

- The current debate presents only arguments from different viewpoints:
 - “The overlapping enforcement power of the criminal authority plays a complementary role and increases deterrence.” vs
 - “Such a concurrent power creates significant confusion and increases uncertainty.”
- Which one is right? **Does the current system yield optimal outcomes or necessitate any institutional adjustment?**
 - This is the main research question of this study.

Two heads are better than one?



Cartoon by Sergio Drumond

Too many cooks spoil the broth?



Image Courtesy: Glenn Morison on <http://www.quakerquaker.org>

Research Design

- In order to answer the research question,
 - This study first explores the *theory of redundancy* in public administration
 - It revisits the ‘redundancy’ concept and clarifies several conditions under which functional or institutional redundancies in organizations can operate rationally.
 - It then applies the insights from the theory to the current enforcement system,
 - where multiple agencies hold referral (request) rights, and both competition and criminal authorities are empowered to enforce the law.
 - Through this, this study assesses
 - whether the *status quo* represents a desirable institutional design and whether it needs any institutional adjustment.

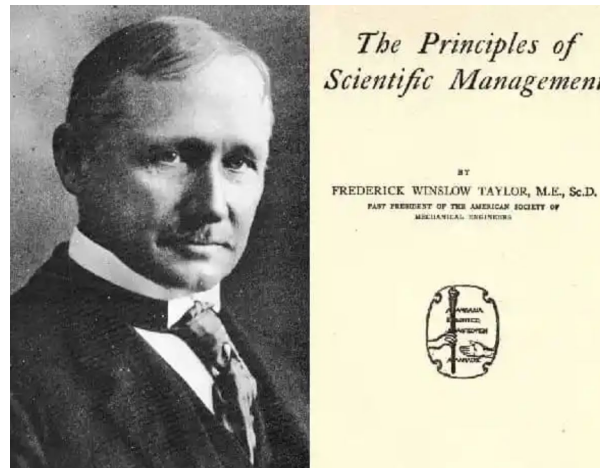
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Theoretical Framework: Redundancy Theory (1)

- Redundancy under Taylorism and Scientific Management
 - Within public administration, the prevailing evaluation of redundancy was based on the lexical or dictionary definitions.
 - Lexical or dictionary definitions → superfluous, excessive, surplus, unnecessary ...
 - This perspective on redundancy was particularly influential in movements such as Taylorism and scientific management.
 - They emphasized strict organizational structures and efficient division of labor.
 - The elimination of redundancy or overlap (**zero redundancy**) was understood as a measure of **optimal efficiency** in situations where **resources are limited**.



(Source: conceptshacked.com/taylorism/)

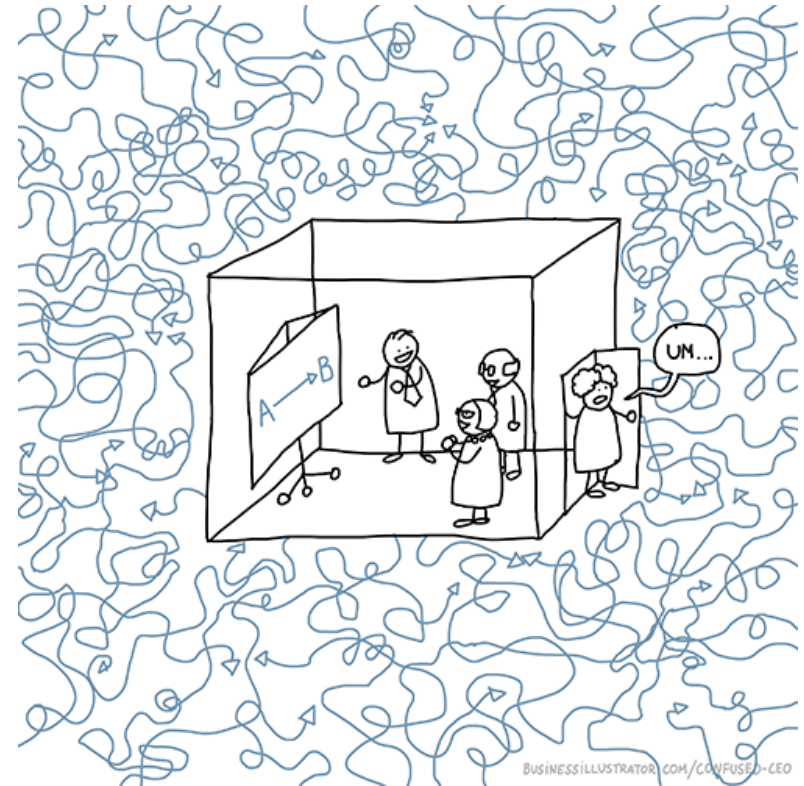
Theoretical Framework: Redundancy Theory (2)



Martin Landau, 1921-2004
<https://shorturl.at/nHMX8>

- ‘Redundancy’ Revisited by Martin Landau (1969)
'Redundancy, Rationality, and the Problem of Duplication and Overlap' (1969) 29(4) Public Administration Review 346
 - Landau pointed out that
 - the perspective, based on scientific management, aims for an efficient organizational design characterized by clear role allocation among the various parts and unfailingly articulated linkage and noiseless communication (p.354).
 - However, he said, this is only feasible under the assumption that all given conditions, such as “fact and value, instrumentation and outcome, means and ends”, are certain, making it potentially irrational to pursue this approach in high uncertainty real-world public administration contexts (pp.354-355).
 - Landau, instead, suggested that
 - in situations where facts are uncertain and values are not established, making it unclear which means are appropriate for achieving goals,
 - a more “pragmatic and experimental” approach, namely, organizational design permitting for the simultaneous implementation of various competitive strategies, can be more rational (p.355)
 - In other words, he emphasized that in designing government organizations, it may sometimes be more rational for the functions and authorities of each administrative agency to overlap within somewhat ambiguous boundaries rather than strictly delineating them as mutually exclusive.
 - Similarly, Niskanen said, “And competition in a bureaucracy is as important a condition for social efficiency as it is among profit-seeking firms.”
 - William A. Niskanen, *Bureaucracy and Representative Government* (1971), p.111

Theoretical Framework: Redundancy Theory (3)



(Source: <https://www.businessillustrator.com/taylorism-cartoons/>)

Theoretical Framework: Redundancy Theory (4)

- Constructive redundancy that can increase system reliability and adaptability
 - “... the task remains to learn to distinguish between **inefficient redundancies** and **those that are constructive and reinforcing**—and this includes the kind of knowledge which will permit the introduction of redundancies so that they can work to increase both **reliability and adaptability**.” (p.356)
- 4 Elements of the ‘Constructive’ Redundancy (extracted from Landau's 1969 paper)
 1. Potential for **Partial Failures to Lead to Systemic Failures**
 - Redundancy is crucial in complex and tightly ordered systems where the failure of a single component can lead to the failure of the entire system (p.350).
 2. **Benefits of Reliability Outweighing the Costs** of Adding Redundancy
 - Cost-benefit analysis. Redundancy can be justified where “the probability of failure in a system decreases exponentially as redundancy factors are increased” (p.350).
 3. **Independence** of Redundant Components
 - “... the failure of parts must be random and statistically independent (unrelated). ... If each braking assembly is not completely separated from the other, the redundancy is not only waste, it becomes a very dangerous addition ...” (p.350)
 4. **Equipotentiality**
 - Redundancy is beneficial as it enables functional overlap among parts, which enhances a system's adaptive power and resilience (p.351).

Theoretical Framework: Redundancy Theory (5)

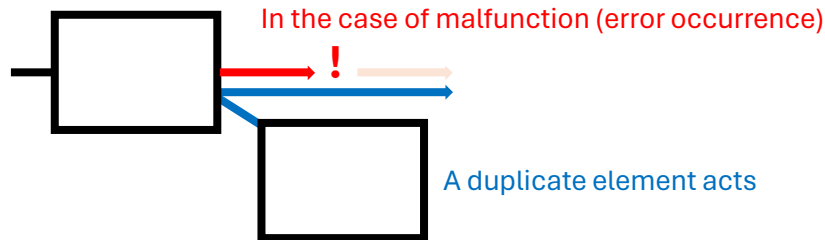
- Developments of the Redundancy Theory:

Elaboration of Types of Redundancy and Reflection of on Different Types of Errors

- **Backup (or Reserve) Redundancy**

- “the duplicate elements go into action only when the original elements malfunction.”

* Dan S. Felsenthal, 'Applying the Redundancy Concept to Administrative Organizations' (1980)
40(3) Public Administration Review 247, p.248



“This type of redundancy is more often found in machine systems than in human systems. An example would be the manual landing gear of an aircraft; it is activated only when the hydraulic landing system is out of order. However, backup redundancy can also be found in human organizations; reserve units maintained by armies is the classical example.” Felsenthal (1980), p.248

Theoretical Framework: Redundancy Theory (6)

- Developments of the Redundancy Theory:

Elaboration of Types of Redundancy and Reflection of on Different Types of Errors

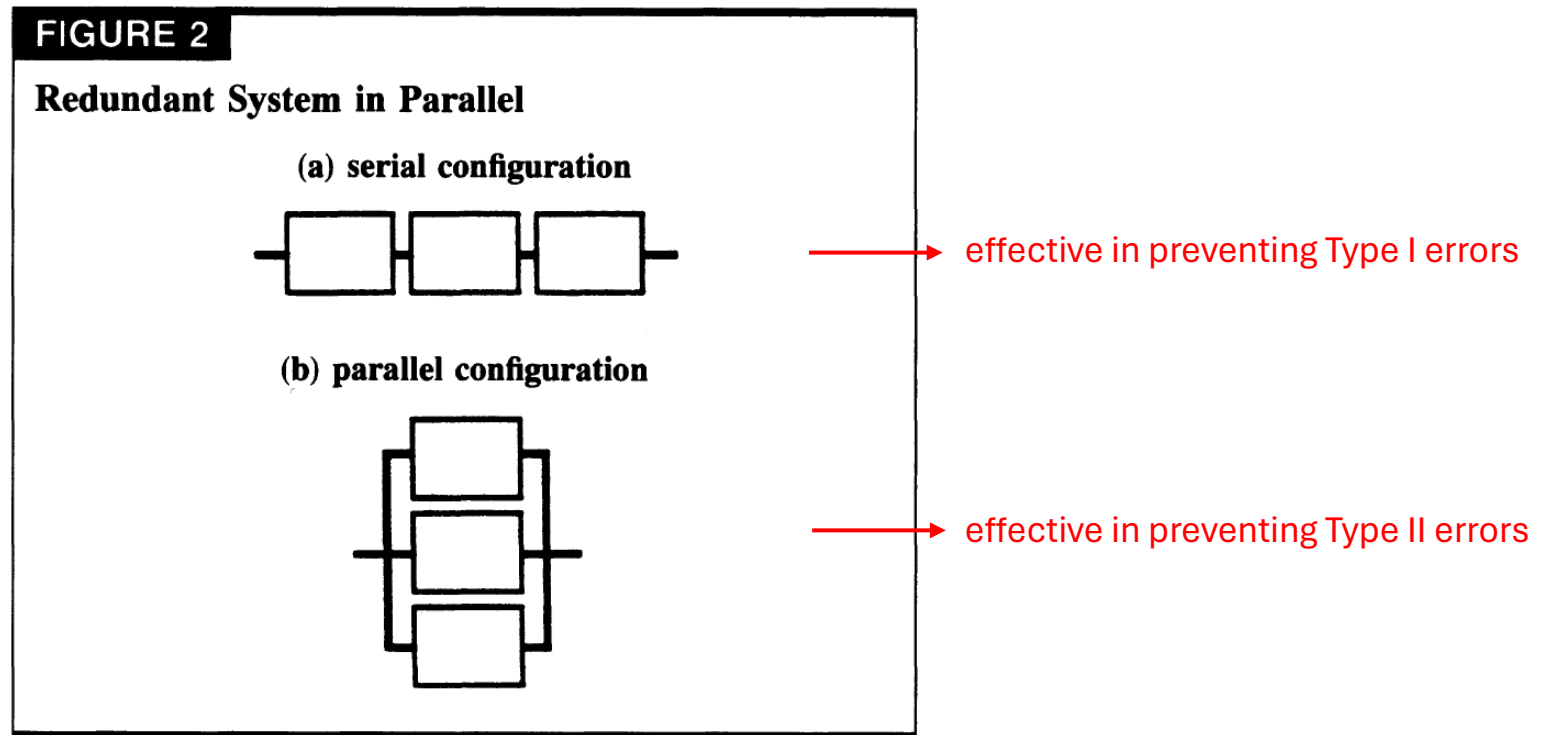
- **Serial and Parallel Redundancy**

- **Serial Redundancy:** Redundant functions are designed to operate sequentially; effective in preventing Type I errors (error of commission)
 - "the first component must correctly process a policy initiative before sending it on to the next component." "better suited to stop type I errors from occurring."
- **Parallel Redundancy:** Multiple elements are designed to operate concurrently in a redundant setup; effective in preventing Type II errors (error of omission)
 - "a policy may pass through any one of the components in order to get to the implementation stage."; "are able to reduce the probability of [type II] errors occurring."

* C. F. Larry Heimann, 'Understanding the Challenger Disaster: Organizational Structure and the Design of Reliable Systems' (Jun 1993) 87(2) The American Political Science Review 421, p.424 pp.416-427. See also, Jonathan Bendor, Parallel Systems_ Redundancy in Government (University of California Press 1985), pp.49-52

Theoretical Framework: Redundancy Theory (6)

- **Serial and Parallel Redundancy**



* C. F. Larry Heimann, 'Understanding the Challenger Disaster: Organizational Structure and the Design of Reliable Systems' (Jun 1993) 87(2) The American Political Science Review 421, p.424, Figure 2

Redundancies in the Public Enforcement of the MRFTA (1)

- Fundamentally, the current system is designed for **efficiency** by **centralizing** the enforcement power within the KFTC, an administrative body.
 - Considering the spirit of the *market* economy system and the necessity to avoid over-enforcement (Type I errors; government failure), it is rational to concentrate the enforcement power on a specialized dedicated body.
 - However, **some redundancies**, i.e., duplications and overlaps, are observed in the process of determining the necessity for criminal prosecution and in enforcement actions:
 - 1) Duplications in determining the necessity for criminal prosecution:
 - KFTC's (exclusive) criminal referral system → **Serial redundancy** ①
 - Other agencies' request for the referral → **Backup (or reserve) redundancy** ②
 - 2) Overlaps in enforcement actions:
 - Overlapping enforcement powers of the KFTC and criminal authority* → **Parallel Redundancy** ③
- * through the 'request system' that obligates the KFTC to file criminal charges



Are these redundancies a rational organization or institutional design from the perspective of redundancy theory?

Redundancies in the Public Enforcement of the MRFTA (2)

1

KFTC's criminal referral system: **Serial redundancy**



2

Criminal referral request system:
Backup (or reserve) **redundancy**



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Redundancies in the Public Enforcement of the MRFTA (3)

3

Overlapping enforcement powers:
Parallel redundancy



Issues

For example,

- Collusion
- Abuse of dominance
- Unfair-UTPs (incl. unfair tie-ins) (excl. lessening-competition UTPs)
- Unfair support & Provision of undue benefits (tunneling)
- ...

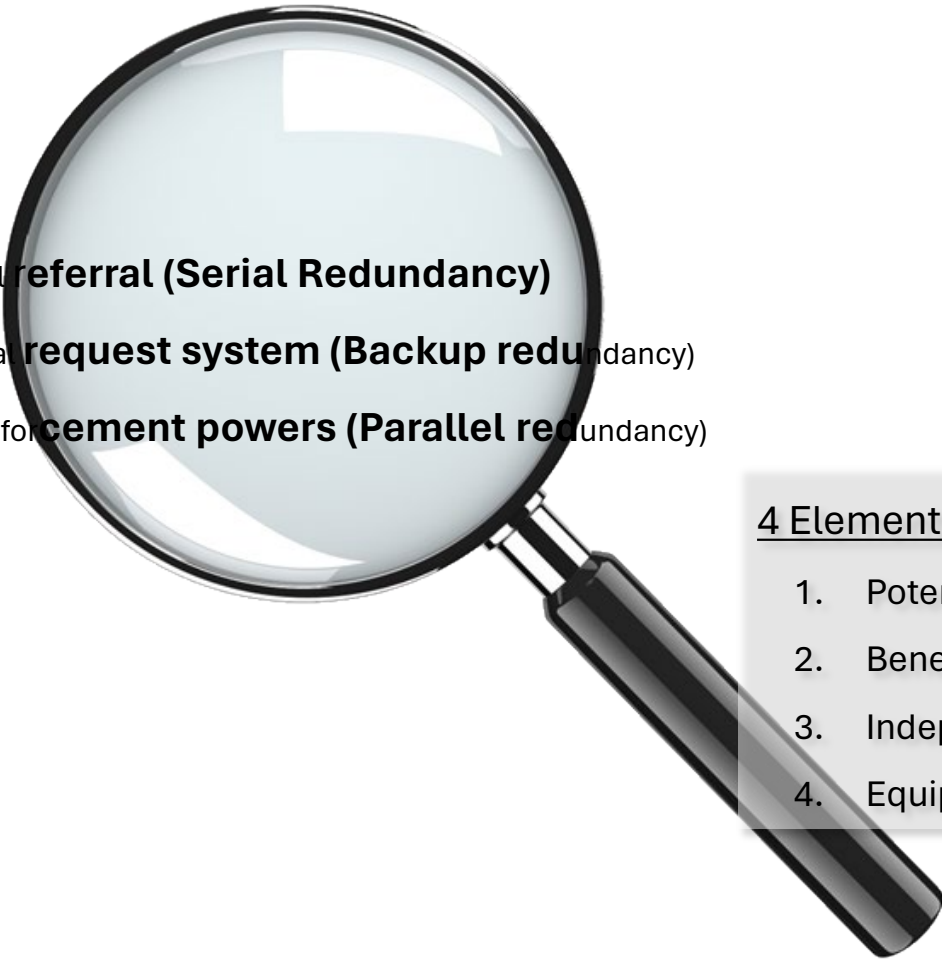


Punitive sanctions
(administrative/criminal)



Using the request system
(leading to mandatory referral)

Analysis of the Redundancies in the MRFTA Enforcement (1)



KFTC's criminal **referral (Serial Redundancy)**
Criminal referral **request system (Backup redundancy)**
Overlapping enforcement **powers (Parallel redundancy)**

4 Elements of the 'Constructive' Redundancy

1. Potential for Systemic Failures
2. Benefits Outweighing the Costs
3. Independence of Parts
4. Equipotentiality

Analysis of the Redundancies in the MRFTA Enforcement (2)

- 1st Potential for Partial Failures to Lead to Systemic Failures

- Redundancies in the MRFTA enforcement can be justified when they prevent:
 - over-enforcement (Type I error), which can lead to government failure or
 - under-enforcement (Type II error), which can lead to market failures, etc.*

* Under the MRFTA, the systemic failures comprise the issue of *intensification of economic power concentration*, often referred to as aggregate concentration.

1. KFTC's criminal referral system (Serial redundancy)

- A rational institutional choice
 - given the presumption of innocence and *nullum crimen sine lege* principles, the need to avoid over-enforcement in criminal punishment,*
 - Blackstone's ratio: “It is better that ten guilty persons escape than that one Innocent Suffer”

2. Criminal referral request system (Backup redundancy)

- Inefficient redundancy (esp. the request powers of the BAI, SME Ministry, and the PPS)
 - as they can make the request for “other reasons”, including non-systemic issues, which increases the risk of wrongful criminal involvement (over-enforcement; Type I error)

Analysis of the Redundancies in the MRFTA Enforcement (3)

- 1st Potential for Partial Failures to Lead to Systemic Failures
 - Redundancies in the MRFTA enforcement can be justified when they prevent:
 - over-enforcement (Type I error), which can lead to government failure or
 - under-enforcement (Type II error), which can lead to market failures, etc.*

* Under the MRFTA, the systemic failures comprise the issue of *intensification of economic power concentration*, often referred to as aggregate concentration.

3. Overlapping enforcement powers (Parallel redundancy)

- In principle, **rational institutional choice** (solely in the viewpoint of the redundancy)
 - If there is a need to reduce quantitative and qualitative under-enforcement (Type II error), the overlapping enforcement actions can be considered a rational institutional design.
- However, in the cases of UTPs → **Inefficient redundancy**
 - In situations where it is **unlikely that erroneous acquittal (under-enforcement) will lead to system failures**, the overlapping enforcement only increases the risk of government failure.

Analysis of the Redundancies in the MRFTA Enforcement (3)

- 2nd Benefits of Reliability Outweighing the Costs of Adding Redundancy
 - Further research is needed, taking into account the following aspects
 - Regarding costs:
 - The direct administrative costs associated with granting additional rights to request a criminal referral may not be considered significant.
 - However, the indirect costs, such as increased uncertainty among regulated parties, should also be taken into account.
 - In the case of costs associated with overlapping law enforcement by prosecutors, the aspect of significantly increasing the additional burden on regulated parties needs consideration, especially since the prosecutors' actions presuppose the possibility of criminal sanctions, which are more invasive than administrative penalties.
 - Regarding losses caused by failures:
 - Both direct and indirect aspects should be considered.
 - Errors in over-enforcement and under-enforcement exist in a trade-off relationship, and finding a balance requires considering failures from multiple perspectives.
 - For example, when evaluating the request for a referral and overlapping enforcement by prosecutors, it is crucial to consider both the probability and magnitude of market failure and the probability and magnitude of government failure.

Analysis of the Redundancies in the MRFTA Enforcement (4)

- 3rd Independence of Redundant Components
 - For redundancies to be considered constructive, each overlapping or duplicating part must operate independently.
 - Otherwise (if the failure of one part influences the operation or failure of another part), it increases the risk of systemic failure.
 - 1. KFTC's criminal referral system (Serial redundancy);
 - 2. Criminal referral request system (Backup (or reserve) redundancy)
 - Generally, administrative agencies make their decisions independently.
 - But the KFTC's obligation to file a criminal charge is irrational.
 - When the KFTC receives a request for a referral, it is bound by the judgments of other administrative bodies → This creates an inefficiently redundant system design, thereby increasing the risk of erroneous convictions.
 - 3. Overlapping enforcement powers (Parallel redundancy)
 - Criminal authority: Independent
 - Even when the KFTC has determined a violation and referred it to the criminal authority, the prosecutors are not bound by the FTC's decisions.
 - Competition authority (KFTC): Not independent, especially when the criminal authority's enforcement action precedes.
 - It is difficult and unrealistic to expect that the KFTC, after filing a criminal charge (criminal referral) at the request of the criminal authority, would find no wrongdoing.
- * Note that before the mandatory referral system was introduced in 2013, the KFTC could make independent decisions, e.g., the 1995 department store food mislabeling case

Analysis of the Redundancies in the MRFTA Enforcement (5)

- 4th Equipotentiality
 - Redundancy is beneficial as it enables functional overlap among parts, which enhances a system's adaptive power and resilience
 - 1. KFTC's criminal referral system (Serial redundancy);
 - 2. Criminal referral request system (Backup (or reserve) redundancy)
 - No further analysis is required, as they perform the same function.
 - 3. Overlapping enforcement powers
 - For [hardcore cartels](#), [bid-rigging](#), and [providing undue benefits to designated parties \(Tunneling\)](#) → The criminal authority's enforcement holds [high equipotentiality](#).
 - Especially in cases of bid-rigging, the criminal authority may also utilize other laws such as the Criminal Act (Art. 315) or the *Framework Act On The Construction Industry* (Art. 95, no.1). For tunneling, it can, to some extent, be addressed under the Criminal Act for embezzlement or breach of trust (Art. 355).
 - In the above areas, even in unforeseen circumstances where the KFTC's enforcement function may not operate normally, the deterring function of the government organization can still be effectively carried out through the criminal authority's enforcement actions.

Analysis of the Redundancies in the MRFTA Enforcement (6)

- 4th Equipotentiality
 - Redundancy is beneficial as it enables functional overlap among parts, which enhances a system's adaptive power and resilience
 - 1. KFTC's criminal referral system (Serial redundancy);
 - 2. Criminal referral request system (Backup (or reserve) redundancy)
 - No further analysis is required, as they perform the same function.
 - 3. Overlapping enforcement powers
 - In **other areas** (**collusions** other than hardcore cartels, **unilateral conduct**, etc.)
→ The criminal authority's enforcement exhibits **low equipotentiality**.
 - In areas prone to **relatively high decisional errors**, such as unilateral practices, and in **rapidly changing and innovative sectors** like the technology and digital platform industries (that is, where the risk of government failure is high),
 - it is challenging for criminal enforcement based on criminal penalties, incl. imprisonment, to equivalently substitute for the KFTC's administrative law enforcement, which is more tolerant of committing errors when addressing public issues.
 - This challenge exists regardless of the expertise or capacity of the prosecutors, but is **inherent to the limitations of law enforcement based on criminal penalties**.
 - * Note the different situation from the U.S. Department of Justice's Antitrust Division, which can execute enforcement through civil procedures.

Analysis Summary (1)

1

+ Prevention of system failures

KFTC's criminal referral system: **Serial redundancy**



- No discretion → inefficient redundancy

2

Criminal referral request system:
Backup (or reserve) **redundancy**



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- "Other reasons" → Inefficient redundancies

Redundancies in the Public Enforcement of the MRFTA (3)

3

Overlapping enforcement powers:
Parallel redundancy

– Not independent, when the criminal enforcement precedes



Issues

For example,

- Collusion
- Abuse of dominance
- Unfair-UTPs (incl. unfair tie-ins) (excl. lessening-competition UTPs)
- Unfair support & Provision of undue benefits (tunneling)
- ...

Punitive sanctions
(administrative/criminal)



+ Independent



Using the request system
(leading to mandatory referral)

+ Prevention of system failures

– Not in cases of UTPs

+ High equipotentiality in hardcore, bid-rigging, tunneling cases

– Low equipotentiality in other cases

Implications and Recommendations (1)

- In Principle,
 - Fundamentally, in areas with **little relevance to market failures** or where the **equipotentiality of criminal enforcement is low**,
 - the overlapping enforcement by the criminal authority is **excessive**.
 - Thus, an efficient design centered on the KFTC is preferable.
- ⚠ The legitimacy of criminal sanctions is beyond the scope of this discussion.
 - If criminal sanctions are deemed essential, they could operate under a system different from the current one.
 - Conversely, if they are unjustified, they should be completely abolished, regardless of any redundancy analysis.

Implications and Recommendations (2)

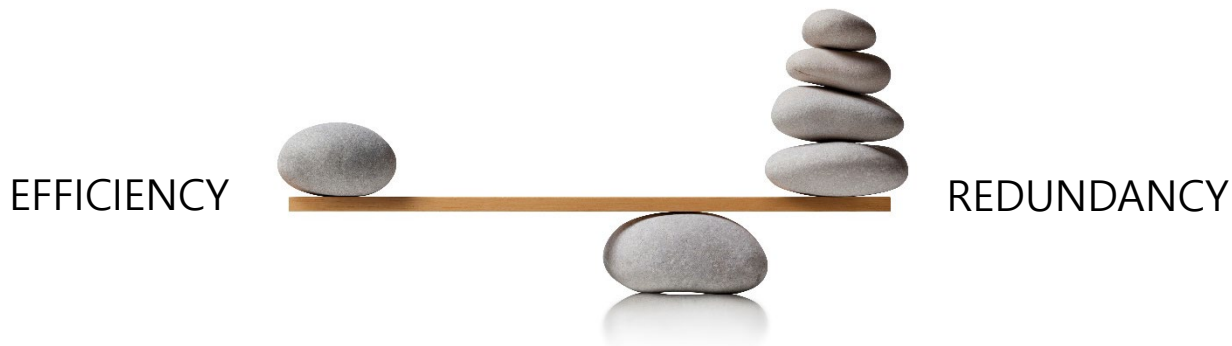
- For the KFTC's Exclusive Referral Right,
 - **Maintaining** the current system may be desirable.
 - In this case, however, **the request right of other agencies** (especially those other than the criminal authority) increases the risk of wrongful criminal interventions and should, therefore, be abolished or revised.
 - For revisions, the grounds for such requests need to **be amended (to align them with the criminal authority's request criteria)**, and the **KFTC should be allowed to reassess the necessity of a referral after receiving the other agencies' requests**.
 - Also, for the overlapping enforcement, it is also necessary to **prevent KFTC decisions from being bound** by the criminal authority's decision.
 - requiring a KFTC's decision not to make a **referral as a condition for a request** or ensuring the KFTC's sanctions decision to precede the referral*
- * Issues regarding the statute of limitations must also be considered

Implications and Recommendations (3)

- For the KFTC's Exclusive Referral Right,
 - **Abolishing** the KFTC's exclusive referral right is also a viable alternative.
 - While the possibility of **differing conclusions** between competition and criminal authorities might increase, this does **not necessarily** have to be considered **negative**, especially from an equipotentiality perspective (**provided that a reduction in criminal enforcement overlap is achieved first**).
 - In uncertain situations, an organizational design that allows **various competitive strategies** to be implemented simultaneously may be rational.
 - Additionally, if the '**obvious, clear, severe, significant competitive harm**' criteria were extended from the requirements for a criminal referral **to those for criminal prosecution**, a higher level of rationality could be achieved.

Conclusion (1)

- The essence of rational organizational and system design lies in finding and maintaining a balance between efficiency and redundancy.
 - In principle, government organizations and systems should be efficiently designed because:
 - In situations where resources are limited, effective administration requires maximizing output relative to input and minimizing costs and confusion.
 - However, the benefits of overlapping/duplicating system designs can also be recognized, to some extent, because:
 - An appropriate level of redundancy can enhance the overall system's reliability and adaptability, despite the additional costs incurred.



Conclusion (2)

- From the perspective above, this study examined whether the current overlaps and duplications in the MRFTA enforcement system are justifiable
 - The study has identified some excesses in
 - the **scope of enforcement overlap** (outside the cartels, bid rigging, and tunneling);
the **authority of other agencies to request referrals**; and
the **KFTC's mandatory referral upon request**.
 - To adjust these to an appropriate level, some changes are necessary, including.
 - **reducing the scope of criminal enforcement overlap**;
amending the reasons for referral requests; and
ensuring the independence of the KFTC (especially after receiving referral requests).

Conclusion (3)

- Limitations of This Study

- The findings of this study are neither universal nor always valid.
 - The appropriate level of redundancy depends on the reality in which actions occur, specific cost/benefit analysis results, and the type of errors one wishes to avoid.
- Also, this study does not provide a valid answer to the issue of the legitimacy of criminal sanctions against MRFTA violations
 - If criminal sanctions are unjustified and unnecessary, then, regardless of redundancy, abolishing overlapping criminal enforcement is preferable.
 - Conversely, If they are justified and essential, maintaining the criminal justice system would be preferable (though it would be different from the current system).

- Contributions of This Study

- This study attempts a managerial approach in public administration, which has not been done in previous studies on the MRFTA.
- The methods and approaches of this study can be used to assess other monopolies, duplications, and overlaps within related systems.
 - whether the KCC's exclusive power to sanction practices related to in-app payments is desirable?;
 - whether sectoral regulators, other than the KFTC, should be granted the MRFTA enforcement powers (like the UK "concurrency" system)?;
 - the current overlap between administrative and criminal leniency programs
- Future research should be conducted on various duplications, overlaps, and monopolies within Korean government organizations and systems.

Thank You

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